

**IT IS A** fine line to tread. How does one protect consumer interests while maintaining the freedom of the markets? Industry, sectoral experts, and policymakers have been debating this vexing question for long but have found no easy answers yet. In the meantime, India is working on introducing a digital competition law that would have significant ramifications for a host of Big Tech firms—both domestic and foreign—including the likes of Google, Meta, Apple, Amazon, Uber, MakeMyTrip, and Zomato, to name a few.

Over the past few years, India has joined a number of jurisdictions globally to work on regulating competition in digital markets. Some of them are also weighing in on a separate legislation for the digital economy with *ex ante* or pre-

emptive regulations for large tech firms. For instance, the EU's Digital Markets Act (DMA), that has fully come into effect. The DMA has identified six gatekeepers—Alphabet, Meta, Microsoft, Amazon, Apple and ByteDance—which will have to comply with regulations to ensure that there is competition in the markets. The UK Parliament, too, is in the midst of approving the Digital Markets, Competition and Consumers Bill that would empower its Competition and Markets Authority to regulate competition in digital markets. Back home, the country's antitrust regulator, the Competition Commission of India (CCI), has been probing anti-competitive practices by many of these Big Tech firms, and has already penalised some of them.

"With close to 15 jurisdictions thinking in terms of bringing rules on dos and don'ts or *ex ante* regulations for large digital companies, there clearly is a problem in how these players behave and hence pro-competitive behavioural rules may be required," says Payal Malik, Visiting Professor, Digital Economy Startups and Innovation, and the ICRIER Prosus Centre for Internet and Digital Economy (IPCIDE) at policy think tank ICRIER.

Consumer interests, especially related to personal choice and data, have been a key issue for regulators globally as they try to tackle chal-

lenges around regulating competition in digital markets. Another factor is complaints by smaller domestic start-ups that they are not being given a fair chance by these Big Tech firms. The Alliance of Digital India Foundation (ADIF), which was set up in 2020 as a think tank for India's digital start-ups, has been at the forefront in many of these cases.

Global investors are closely watching how these developments pan out in one of the largest developing markets in the world. India had the world's second-largest internet user base with over 821 million users in 2023, per data analytics website Statista, and the numbers are still growing. A recent report by Invest India, the national investment promotion and facilitation agency, has forecast that by 2030, the country will have the second-largest online shopper base, with nearly 500 million customers.

### UNDER THE LENS

Big Tech has often faced regulatory scrutiny in India. For instance, Alphabet Inc.'s Google has been under CCI's scanner time and again. Recently, CCI ordered a probe into its Play Store billing policies, under which it charges commissions for providing digital services to apps for in-app purchases.

But it's not just Google. CCI has often probed Big Tech firms for anti-competitive practices and abuse

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